

Chinese Infrastructure in Southern Africa

Southern Africa

SIGNAL Chinese contractors and financiers are winning the projects that will process and move Southern Africa's critical minerals, including inside the West's own flagship corridors.

FRACTURE Host-nation export bans are creating smelting demand that only Chinese capital, chemical inputs, and technology can satisfy.

Chinese firms will accept host-nation processing demands and build domestic beneficiation plants across Southern Africa over the next 12 months, deepening technological lock-in rather than losing control of critical mineral supply chains.

85%

PROBABILITY

▲ from 80%

TARGET: JUNE 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- DRC signed a joint ministerial order (29 June 2026, text public 6 August) banning copper and cobalt concentrate exports, repealing the 2023 order and leaving only one-year strategic waivers – the continent's most ambitious mineral-sovereignty assertion, but one whose mandated smelters are financed and operated with Chinese capital and technology.
- CEDESA's "The Lobito Corridor: A Chinese Paradox" found China effectively controls a key segment of the Western flagship corridor through its influence over contractor Mota-Engil and its 70-80% ownership of DRC copper/cobalt mines; the World Bank's MIGA issued a \$62.6M guarantee on Mota-Engil's stake, meaning Western multilaterals are underwriting a Chinese-influenced position.
- China NERIN Engineering won a \$498M contract to build a copper tailings-recovery plant at Chingola – the planned Zambian terminus of the US-backed Lobito Corridor – exposing the gap between securing a railway and securing the mines, processing, and offtake that feed it.
- China's dependence on DRC copper reached 44.7% of total imports in the first seven months of 2026, deepening the mutual lock-in that underpins the infrastructure-for-resources model.
- Shenghe Resources began construction of a heavy-mineral-sands separation plant in Tanzania, positioning the country as a regional processing hub fed by raw materials from Mozambique, South Africa, and Madagascar.

- Sinomine's total announced Zimbabwe investment reached \$2.8B; the Bikita mine was upgraded to 400,000 t/yr spodumene with a 100,000 t/yr lithium sulphate plant under construction for mid-2027 completion.
- CNMC outlined plans to add more than 190,000 t of copper by 2030 through the \$513M Luanshya redevelopment, raising \$300M in convertible bonds to fund it.
- Three Chinese OEMs confirmed building transformer, wire, and pylon plants in South Africa, while a proposed China-Africa Innovation Alliance on Mining and Metallurgy advances battery-materials research and a 10,000-litre NMC precursor plant.
- Chinese BRI investment in Africa surged 254% to \$33.5B in H1 2026, with Africa absorbing 67% of global BRI activity – a signal that Chinese capital is re-routing toward the continent.
- Zimbabwe's September mission to China pressed Tsingshan and CHINT to complete manufacturing locally, and confirmed the January 2027 lithium concentrate export ban.
- **Probability raised 80% → 85%** driven by: DRC concentrate ban generating smelting demand only Chinese capital/technology can meet; Chinese contractors winning deals inside the West's Lobito corridor (NERIN \$498M, Mota-Engil/MIGA position); BRI investment surging 254%; and the self-reinforcing loop where each host-nation sovereign escalation creates a new Chinese-controlled processing asset.

ANALYSIS

POLITICAL

The beneficiation demand has hardened from a Zimbabwean experiment into a binding, multi-country norm with enforcement architecture behind it. The DRC's June 2026 ban on copper and cobalt concentrate exports – signed by three ministers, repealing the prior order, and restricting waivers to a one-year, minister-only exception – is now the continent's most aggressive assertion of mineral sovereignty. It joins Zimbabwe's extension of raw-export bans to thirteen additional minerals and its January 2027 lithium concentrate prohibition, Tanzania's strategic-minerals beneficiation policy, and Namibia's export restrictions on unprocessed lithium, cobalt, graphite, manganese, and rare earths. The political logic is explicit and self-conscious: Kinshasa and Harare openly cite Indonesia's nickel-export ban – which drew roughly \$30B of Chinese smelter investment and lifted Indonesia's share of global nickel output past half – as the template they are borrowing. The crucial political inversion is that these bans serve China's interests as much as the hosts': the domestic smelting capacity they mandate is overwhelmingly financed by Chinese capital, so each sovereign escalation converts a policy desire into a new Chinese-built asset. China is simultaneously positioning itself as the cooperative partner this shift requires, embedding value-addition commitments in the FOCAC Beijing Action Plan and in bilateral alliances from South Africa's proposed mining-and-metallurgy innovation alliance to Namibia's eight signed documents. The West's counterweight – the Quad's \$20B framework and the US-DRC Task Force – remains rhetorically sharp but

disbursement-slow, and the CEDESA finding that Chinese influence extends into the West's own Lobito flagship undercuts the credibility of the de-risking narrative.

ECONOMIC

The economic evidence for deepening lock-in has become doubly reinforcing. On the demand side, host-nation beneficiation has crossed from policy into commissioning across the full mineral spectrum: Sinomine's \$2.8B Zimbabwe program, CNMC's >190,000-tonne copper expansion, Shenghe's Tanzanian regional separation hub, and the three Chinese OEM plants in South Africa all convert processing mandates into operational Chinese-controlled capacity. On the structural side, the financing that builds this capacity is shifting but not away from China: the 254% surge in BRI investment to \$33.5B in H1 2026 shows Chinese capital flooding toward Africa even as sovereign lending to infrastructure declines, with private firms deploying their own balance sheets and deepening proprietary-technology control. China's 44.7% dependence on DRC copper and its ~80% control of DRC cobalt create a mutual vulnerability that raises the cost of rupture for both parties, making negotiated processing-for-access deals more likely than confrontation. The most telling economic signal is that Chinese firms are now monetising the West's own infrastructure: the \$498M NERIN tailings-recovery plant at the Lobito terminus, the MIGA-guaranteed Mota-Engil position, and Chinese dominance of the mines whose output the corridor will carry mean that Western capital is increasingly underwriting value that ultimately accrues to Chinese extraction and processing offtake. Western challengers such as KoBold and the Glencore-Orion consortium are real but late, and the regional processing-hub model Shenghe is building in Tanzania consolidates several countries' output through Chinese infrastructure rather than dispersing it.

MILITARY

The strategic-minerals competition continues to be framed explicitly in defence-supply-chain terms. The Quad's Critical Minerals Initiative links the metals essential for batteries to those essential for advanced weapons, radar, and military communications, and China's demonstrated willingness to restrict sulphuric acid exports shows leverage extending into the chemical inputs without which even non-Chinese processing cannot function. The new dimension is the dual-use logistics layer: China's position within the Lobito Corridor through Mota-Engil and its ownership of the mines feeding it, combined with its \$1.4B TAZARA rehabilitation toward the Indian Ocean, gives Beijing structural visibility and influence over the physical arteries that would carry Western de-risked supply chains – influence that persists even under Western financing and guarantees. China's 44.7% copper-import dependence cuts both ways strategically, creating a coercive lever DRC could theoretically pull but one that Beijing's embedded mine-to-smelter integration makes costly to exercise.

TECHNOLOGICAL

Technological lock-in has deepened along every vector. The beneficiation plants now commissioning – lithium sulphate and carbonate plants across Zimbabwe, the Kamo-a-Kakula smelter, Shenghe's separation plant, and the proposed South Africa-China mining-and-metallurgy alliance – all run on Chinese industrial technology, chemical inputs, and

spare-part supply chains that hosts cannot independently operate, maintain, or replicate. The proposed China-Africa Innovation Alliance on Mining and Metallurgy is the clearest institutional marker: framed as technology transfer, it would bind South African and Chinese national research facilities into joint R&D, AI-driven mineral separation, and NMC precursor development – extending Chinese technical standards and training deep into the region's sovereign research base. The downstream integration continues at the top of the chain, with BYD having secured six African lithium mines through 2032, tying processing output directly to Chinese end-product manufacturing. The further a host nation pushes domestic beneficiation, the more permanently it enmeshes itself in Chinese technology, inputs, and offtake – the precise mechanism the core prediction describes.

WATCH INDICATORS

- DRC concentrate export ban enforcement – waiver issuance to Chinese smelters vs. Western operators
- Mota-Engil position and MIGA guarantee inside the Lobito Corridor as a measure of Chinese influence in Western infrastructure
- Whether Chinese contractors continue to win Lobito and TAZARA construction and processing contracts
- Shenghe Resources Tanzania regional-hub construction progress and feedstock sourcing from Mozambique/South Africa/Madagascar
- Sinomine Bikita and Huayou/Zijin lithium sulphate plant completion timelines (target mid-2027)
- US-DRC Task Force, DFC, and AfDB disbursement velocity versus Chinese private balance-sheet deployment
- China's DRC copper import share trajectory (44.7% baseline) as a measure of mutual lock-in

PROBABILITY TRIGGERS

EVENT	DIRECTION
Chinese firm wins additional Lobito/TAZARA corridor construction or processing contracts	Up
China's DRC copper import share rises further above 44.7%	Up
DRC grants concentration-ban waivers predominantly to Chinese-built smelters	Up
Shenghe completes the Tanzanian regional processing hub and begins processing multi-country feedstock	Up

EVENT	DIRECTION
Host nation expropriates or forcibly renegotiates a Chinese concession with financial penalties	Down
Quad/DFC disburses \$1B+ into non-Chinese processing facilities in the region	Down
Western firm commissions a non-Chinese smelter or refinery in DRC/Zambia at scale	Down
Cobalt-free or sodium-ion battery chemistry accelerates, eroding DRC cobalt leverage	Down
China-Africa Innovation Alliance on Mining and Metallurgy formalises into a binding research joint venture	Up
Zimbabwe signs a resource-backed infrastructure agreement with China Railway	Up

KEY SOURCES

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